

Gaps. Do breakout day gaps help performance? Sometimes. Gaps are not a big indicator of future performance. I checked the statistics for various types of chart patterns (double bottoms, head-and-shoulders, and so on), and the average performance improvement is one percentage point. Upward breakouts in bull markets saw price climb by two percentage points if they had a gap. That's for all non-Fibonacci chart patterns. In other words, there's not a big performance difference when you average all the numbers together.

For broadening bottoms, gaps help performance by an average of one to four percentage points, depending on the breakout direction. The gap size is slightly larger after a downward breakout, and that might have something to do with how price drops faster than it rises.

[Table 8.5](#) shows pattern size statistics. This is one of my favorite tables because height is usually the best indicator of future performance.

Height. Tall patterns outperform. What is meant by *tall*? Compute the height of the pattern from the top of the broadening pattern to the bottom and divide the result by the breakout price. A tall pattern will have a ratio larger than that shown in the table for the associated breakout direction.